

Preface

What I Learned from My Father's Writings

This book grows on you. I know because it grew on me. It took me about fifteen years to understand *Common Stocks and Uncommon Profits*. When I first read the book, it made darned little sense. I was eight. It was a waste of the start of a perfectly good summer vacation. Too many big words that required I use a dictionary—ugh. But it was my father's book, and I was proud of him. I had heard at school and from neighbors and had read in the local paper that his book was making a big splash. I was told that it was the very first investment book ever to have made the *New York Times* bestseller list, whatever that meant. I felt it was my absolute duty to read it. So I did, and when completed, I was glad to be finished and free for the summer.

Who knew that I would later go on to found a large investment management firm serving thousands of clients, write my own books, and become the sixth-longest-running columnist in *Forbes* magazine's formidable eighty-plus-year history or that I would write numerous annual “Best of the Year” investment book reviews and recommend dozens of books over the decades to readers? And, yes, maybe it helped in route that I could say I'd read my first investment book when I was eight, even if I didn't understand it.

The book next seriously crossed my mind at age twenty as I faced college graduation. Father had offered me a job working with him and my older brother. Anxious, but skeptical, I was curious to see if this job was really an opportunity. So, I read *Common Stocks and Uncommon Profits* again. (There were only a few words I didn't understand this time.)

Reading about my father's fifteen points to look for in a stock, I wondered if I could apply them to a local stock. If so, I thought this would affirm the benefit of working with my father.

Well, it didn't work. There was a local publicly-traded lumber stock, Pacific Lumber, that looked like a good profit opportunity. But the few folks I approached weren't impressed with some wanna-be kid-sleuth seeking competitive detail who was clearly ill-prepared to analyze or do anything with it. I didn't even know how to ask meaningful questions. After being